PURPOSE CAPITAL

APPENDIX “CONFLICTS MAP” TO POLICY PC-POL-CI-001 · MAP

Map of potential conflicts of interest

Ref. **PC-POL-CI-001-A1**
Version 0.9
Internal

Completed by RCCI **Frequency** Annual review and whenever there is a new activity, product or significant transaction **Kept by** RCCI (compliance file)

No.	Situation	Interests involved	Risk to the client	Prevention measures	Responsible
1	The Company arranges and places an issue, and its relationship managers offer it to their clients	The Company's arranging and placement commissions; the investor's interest	Recommendation unsuited to the client's profile, to ensure the success of the issue	Documented suitability test; written disclosure of the Company's role; allocation approved by the RCCI	Head of Capital Markets · Head of Sales
2	The Company advises an issuer and holds inside information about it	Issuer's mandate; clients who trade its securities	Use or leak of the information	Chinese wall; insider list; security placed on the restricted list	RCCI
3	Oversubscription of an issue placed by the Company	Clients among themselves; accounts of the Company and of Staff Members	Preferential allocation to certain subscribers	Allocation rule set in the information memorandum; related accounts served last	Head of Capital Markets · RCCI
4	Client orders and transactions for own or personal account in the same security	Company, Staff Members, clients	Own order executed first (front running)	Time-stamped chronological handling; prior authorisation of personal transactions; after-the-event control	Chief Executive Officer · RCCI
5	Distribution of CIS units remunerated by retrocession from the management company	Retrocession received; client's interest	Steering towards the best-remunerated product	Open, multi-provider architecture; prior disclosure of retrocessions to the client; suitability test	Head of Sales · RCCI
6	A director, senior manager or shareholder has interests in an issuer or a counterparty	Related person; Company; clients	Transaction terms biased in favour of the related person	Declaration of interests; prior referral to the RCCI; decision by the Board, with the interested person abstaining; related-party agreements	Board of Directors · RCCI
7	Variable remuneration linked to the volume of transactions	Staff Member; client	Excessive unnecessary trading (churning)	Qualitative and compliance criteria in the variable component; monitoring of account turnover rates	Chief Executive Officer
8	Combination of the compliance and internal audit functions	Control function assessing its own arrangements	Undetected control failure	Annual external review; direct report to the Board	Board of Directors
9	Operations function performed by the Chief Executive Officer	Management; clients	Choices favouring the Company in reconciliations or allocations	Dual approval outside the standard procedure; monthly control by the RCCI	Chief Executive Officer · RCCI

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No.	Situation	Interests involved	Risk to the client	Prevention measures	Responsible
10	Gifts, invitations or benefits received from a client, an issuer or a service provider	Staff Member; third party	Decision influenced by the benefit received	Ceiling and declaration (Code, Art. 22); gifts register	RCCI
11	Outside activity or corporate office held by a Staff Member	Staff Member; Company; clients	Competition or use of the Company's information	Prior authorisation; annual declaration	Chief Executive Officer · RCCI
12	IT service provider with access to client data	Service provider; clients	Use of the data for other purposes	Contractual clauses; named and logged accounts; annual access review	Chief Executive Officer
13	Research or market commentary on an issuer that is a client of the Company	Business relationship with the issuer; readers	Biased analysis	Disclosure of the business relationship; ban on publication during a mandate	Head of Capital Markets · RCCI

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